Questar Corp.

Questar Corp. (STR) did the same thing. I bought in the middle of a symmetrical triangle and hoped for an upward breakout. Instead, the stock broke out downward and I sold, taking a 2% loss, only to see the stock reverse and climb. I sold at 20.10, and the stock peaked at 44.80, more than double my sale price.

I picked the right stock. It made a huge gain as I predicted it would, but it shook me out near the start, so I couldn't participate.

- Lesson: Wait for the breakout before trading.
- Lesson: If the stock busts, it could lead to large gains.

In 2008, I traded Questar again. This time, I waited for the upward breakout. What happened? The upward breakout busted when the stock dropped. I sold and took a 3% loss. The stock continued lower by 17% and reversed, climbing 46% before the 2007–2009 bear market took it for a swim 72% lower.

Delphi Financial Group Inc.

I bought into Delphi Financial Group Inc. (DFG) after the 2007–2009 bear market ended and received a fill at 22.53. “Buy reason: Bottom of congestion/rectangle region with good quarterly report. It's at the bottom of a rectangle or channel.”

The stock moved sideways two months, then dipped in January 2010 to 19.04 but recovered. From there, the stock made a straight-line run-up to peak at 28.80 in late April. Then the stock started easing lower, which is probably an understatement. The up-and-down swings were tall. I'm talking sequoia tall.

In June, it formed a symmetrical triangle. When it broke out downward, did I sell? No. Apparently I missed it or ignored it.

So I waited for the pullback and sold the day before it peaked during the pullback. I made 9% on the trade. The stock continued its violent swing and bottomed 11% below my sale price before making an extended recovery, rising 43% with me waving from the sidelines.